18

Central Banking: The War Years

THE YEARS OF THE SECOND World War constituted a distinct phase both for the Indian economy as well as for the bank. The outbreak of war transformed both the economic and political scene as India was called upon to support the war effort. This it did on a large scale and the purchases of war material and services in India by the government resulted in a large accretion of sterling balances. The RBI had to play an enhanced role in all directions, particularly in arranging government borrowings on a scale not contemplated before. Some of the old problems such as the rupee-ratio controversy receded into the background. The higher rate of 1s 6d accumulated higher sterling balances in London and the government's obstinacy on the ratio question proved to be a blessing in disguise.

The immediate problems after the onset of the war concerned the restraining of currency expansion (which considering the sterling–rupee link was automatic), and inflation which was made worse by acute shortages of domestic consumption goods, and a severe fall in imports. This was in contrast to the problems faced by the bank in the years preceding the war, when the acquisition of sufficient sterling to meet the Home Charges and the maintenance of the 1s 6d ratio agitated the minds of the authorities. This was also a period of deflation and while an expansionary policy was the need of the hour, given the rigidity of the sterling–rupee link it was not easy to pursue in practice. During the war years there was an abundant accumulation of sterling, and as a natural corollary there was no problem in maintaining the ratio at 1s 6d. In fact there was speculation that it would